MSME Competitive (Lean) Scheme Operational Guidelines

Issuing Authority: Ministry of Micro, Small and Medium Enterprises, Govt. of India

1. Lean Manufacturing Implementation Support

The MSME Competitive (Lean) Scheme, part of the MSME Champions initiative, provides financial assistance to micro, small, and medium manufacturing units to adopt Lean manufacturing tools (5S, Kaizen, Kanban, Visual Workplace, Cellular Layout, Poka-Yoke) to eliminate waste, improve productivity, and enhance global competitiveness.

2. Tiered Financial Subsidy Structure

The Government of India reimburses implementation costs under three progressive stages:

• Basic Lean Level: 90% government subsidy on consultant fees.

• Intermediate Lean Level: 90% government subsidy for Micro & Small units; 80% for Medium.

• Advanced Lean Level: 90% government subsidy for Micro & Small units; 80% for Medium.

An extra 5% subsidy is provided for Women, SC/ST owned units and enterprises in aspirational/NER districts.

3. Implementation through Quality Council of India (QCI)

Projects are executed by accredited Lean consultants approved by the Quality Council of India (QCI) and National Productivity Council (NPC). Consultants provide on-site handholding over a 4 to 12 month cycle.

4. Tangible Productivity Gains

Units implementing Lean typically achieve 15% to 25% reduction in inventory carrying costs, 10% to 20% improvement in labor productivity, and substantial scrap reduction.